



has stepped down as a trustee. In a letter addressed to Noel Tata, he said, “Precipitating matters would cause irreparable harm to the reputation of the Tata Trusts”.

In the letter, dated November 4, Mistry has said it should put “quietus on speculative news reports that do not serve the interests of the Tata Trusts and are inimical to its vision”. He has stated his commitment to Ratan Tata’s vision, which “includes a responsibility to ensure that the Tata Trusts are not plunged into controversy”.

Whether Mistry still wishes to legally challenge his ouster is not clear. That said, the more important question is what this means for Tata Trusts.

A COMPLICATED HOUSE

At the heart of the boardroom battle is the Tata group’s unique

structure. The Trusts control Tata Sons, a privately held company that has come under pressure from the Reserve Bank of India to go public since it has been classified as an upper layer non-banking financial company (NBFC). Under the Reserve Bank of India’s Scale-Based Regulation, such NBFCs are required to list or deregister.

The Trusts and Tata Sons are opposed to this move to protect the Trusts’ stake, their voting rights and the freedom to fund philanthropic projects. The Shapoorji Pallonji Group, the second-largest shareholder in Tata Sons with an 18.4% stake, has backed the call for an initial public offering as battles to pare down its substantial debts.

According to Avanti T. Chandele, Partner at law firm Mind Legal, the foundation as well as the governance of both a trust and

WHAT NOW

▶ Mehli Mistry was ousted from the board of Tata Trusts after his reappointment did not get unanimous approval

▶ His ouster confirms a troubled relationship on the board of Tata Trusts, which holds 66% in Tata Sons

▶ The question now is who will replace Mistry on the board of Tata Trusts, which appoint one-third board of Tata Sons

▶ Such an appointment will need to get unanimous approval from the trustees

▶ Besides, the bigger question is, who the board of the Trusts nominates for the vacant position on the board of Tata Sons

